Macro-systemic Approach to Multi-Asset Investing

Introduction to the project

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Alpha Capital Jr.
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Purpose of this project

Main observation:

- Macroeconomic conditions represent the first layer of systematic return drivers across asset classes.

Hypothesis:

- Markets follow a random walk (Efficient Market Hypothesis)
- Asset correlations are regime-dependent, therefore unstable
- Exploitable opportunity: regime identification enables systematic alpha generation

Approach:

- Detect macroeconomic regime transitions using observable signals
- Adjust allocations to capture time-varying diversification benefits
- Manage risk during regime shifts

Model Architecture

- **Scoring variables**
  - State assessment: Z-score relative to historical distribution
  - Momentum detection: Moving averages or slope estimation
- **Growth scoring**
  - Unemployment rate
  - Production
  - Global earnings
- **Policy scoring**
  - US 2-Year Treasury yield
  - CPI inflation
- **Regime classification**
  - 4 Quadrants: Growth $\uparrow/\downarrow$ $\times$ Policy $\uparrow/\downarrow$

Assets choice

Class	Product	Ticker	Role
Equity	ETF S&P 500	SPY	Boost returns
Commodities	Gold	GLD	Hedge inflation / stress
Commodities	Commodity Index Tracking Fund	DBC	Performs during Policy ↓
Bonds	Treasuries 20Y+	TLT	Resist bad economic outcomes
Credit*	iShares Corp Bond	LQD	Capture spread / credit cycle

Table: Chosen assets

*To be implemented after further research on credit cycle and its impact on the economy.

How I will process

Plan of development:

- Build the macro regime engine
- Assets analytics (risk, VaR/CVaR, drawdowns, time under water,...)
- Cross assets analytics (correlation, downside correlation, tail risk)
- Back test the macro regimes
- Allocation decisions
- Backtest allocation (Attention overfitting)
- Launch live allocation tracking
- Continuous model reinforcement
- Implement potential complements:
  - Hedging with options
  - include credit cycles
  - Replace SP500 by multi-sectoral equity choices
  - Aim for a 3D macro model including volatility as a variable

Performance Tracking

Benchmarks:

1. S&P 500

Equity benchmark

Goal:

- Higher risk-adjusted returns
- Outperform during equity drawdowns

2. Equally-Weighted

Passively invested across all chosen assets (monthly rebalancing)

Goal:

- Outperform naive diversification

3. Low-Risk Portfolio

Static 60% equity / 40% bonds

Goal:

- Higher returns
- Similar risk

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Macro-systemic Approach to multi-asset investing

Nicolas Poncin is a M.Sc. Financial Engineering student with a strong interest in global macroeconomics and multi-asset portfolio management. He aims to apply his academic background to real investment decision-making. This project was developed as a practical research initiative to explore how macroeconomic regimes influence asset behaviour and portfolio allocation, intending to build a disciplined and testable investment process.



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